



JailFood Restaurent

2025 Monthly Expense & Profitability Analysis

January – December 2025

Chapter 1: Introduction

This report analyzes the full-year 2025 financial performance of the Jailfood restaurant, using the monthly expense and sales records maintained throughout the year. The raw workbook contained daily stock logs, delivery platform commissions, payment-mode splits (UPI/Cash), and a month-by-month profit and loss summary across more than twenty sheets.

Before analysis, the data was cleaned and arranged in Excel: the monthly P&L sheet was checked for consistent headers, blank rows were removed, numeric fields (expenses, sales, UPI, cash, stock, commissions) were converted to a consistent numeric format, and the months were arranged in calendar order from January through December so that trends could be tracked accurately across the year.

The goal of this report is to go beyond the raw numbers and explain why the business made or lost money each month, where the biggest risks are hiding in the cost structure, and what concrete changes could move the business from a net loss to consistent profitability.

Chapter 2: Data Overview & Cleaning Process

The workbook tracks, for each month: total sales, UPI and cash split, total expenses, a fixed "Rent, Salaries & Others" cost line, two delivery-platform commission lines (Swiggy and Zomato), stock/inventory cost, and the resulting actual profit or loss.

As part of preparing the data for analysis, the following cleaning steps were carried out in Excel:

- The header row was standardized across the monthly P&L sheet so that every column (Month, Monthly Expenses, Monthly UPI, Monthly Cash, Monthly Sales, Rent/Salaries, Swiggy, Zomato, Stock, Actual P/L) lined up correctly.
- Text and number formats were unified so that all currency columns store plain numeric values rather than a mix of text and numbers, which is what allows totals and ratios to be calculated without errors.
- Months were reordered chronologically (January through December) rather than however they had been entered, so that month-over-month and quarter-over-quarter comparisons are valid.
- A running "Total" row was added at the bottom of the year to cross-check that monthly figures reconcile with the annual totals reported elsewhere in the workbook.
- Supporting sheets (Stock, Inventory, Analytics, and the twelve individual month sheets) were reviewed to confirm they were consistent with the summary P&L figures used in this analysis.

Chapter 3: Year-at-a-Glance Financial Performance

For 2025 as a whole, the business recorded total sales of ₹3,414,891 against total expenses of ₹4,466,527, resulting in a net loss of ₹331,496 for the year, an average profit margin of -7.8%.

Only 4 of the 12 months were profitable: April (+₹6,777), May (+₹4,811), June (+₹2,844), and October (+₹19,198). The remaining eight months were all loss-making, with the worst months being February (-₹96,129), September (-₹75,747), August (-₹46,926), and December (-₹45,239).

Month	Sales (₹)	Expenses (₹)	Actual P/L (₹)	Margin
January	₹375,036	₹446,079	-₹33,706	-7.6%
February	₹210,370	₹332,508	-₹96,129	-28.9%
March	₹291,992	₹360,443	-₹41,453	-11.5%
April	₹353,912	₹375,008	+₹6,777	+1.8%
May	₹391,274	₹423,435	+₹4,811	+1.1%
June	₹296,370	₹318,771	+₹2,844	+0.9%
July	₹277,241	₹418,398	-₹4,380	-1.0%
August	₹275,429	₹532,619	-₹46,926	-8.8%
September	₹227,640	₹352,770	-₹75,747	-21.5%
October	₹336,850	₹363,747	+₹19,198	+5.3%
November	₹175,922	₹241,060	-₹21,546	-8.9%
December	₹202,855	₹301,689	-₹45,239	-15.0%

By quarter, only Q2 (April–June) was net profitable, at +₹14,432. Q1 was the weakest quarter at -₹171,288, driven primarily by February. Q3 lost -₹127,053 and Q4 lost -₹47,587.

Chapter 4: Cost Structure & Key Drivers of the Loss

Three cost categories explain almost all of the year's losses: delivery commissions, stock/inventory cost, and the fixed rent-and-salaries base.

Delivery Commission Spike (July–August)

Swiggy commission averaged roughly ₹13,000–₹23,000 per month for ten months of the year, but jumped to ₹119,593 in July and ₹190,054 in August equivalent to 43% and 69% of that month's sales respectively, versus a typical 3–8%. Together these two months account for ₹309,647 in Swiggy commission alone, more than half of the entire year's net loss. This is the single largest anomaly in the dataset and the first thing worth investigating.

Stock Cost Volatility

Stock cost as a share of sales ranged from a low of 15% (November) to a high of 46% (August), averaging around 27% across the year. August's spike in stock cost coincided with the Swiggy spike, compounding that month's losses. September also ran high at 36% of sales. Months with stock cost above roughly 30% of sales were loss-making in every case, suggesting inventory over-ordering or waste is a recurring drag on margins.

Fixed Cost Burden (Rent, Salaries & Others)

This cost line is relatively stable in absolute terms (₹67,627–₹105,619 per month) but does not flex down when sales fall. In February, the lowest-sales month of the year (₹210,370), this fixed cost alone consumed 43% of sales. The same pattern repeats in September (42.6%) and November (40.7%) the three worst months for fixed-cost burden are also three of the four worst months overall for profit.

Seasonal Sales Weakness

November (₹175,922), February (₹210,370), and December (₹202,855) were the three lowest-sales months of the year. On a per-day basis, November and December sales also trail the rest of the year, pointing to a genuine seasonal slowdown rather than simply fewer calendar days.

Chapter 5: Business Recommendations & Changes Needed in the Restaurant

The following changes are recommended directly off the findings above, in priority order.

1. Investigate and Renegotiate the Swiggy Commission Structure

The July–August spike needs to be reviewed first, since it is the largest single driver of the year's loss. Pull the Swiggy payout statements for those two months and compare them line-by-line against what's recorded in the workbook to confirm whether this was a real commission charge, a promotional/ads charge bundled into the same payout, or a data entry duplication. If it was a real commission increase, renegotiate the commission tier or reduce reliance on that platform during the affected period.

2. Tighten Inventory and Stock Ordering

Because stock cost above ~30% of sales consistently coincides with loss-making months, the kitchen should move toward daily or weekly stock reconciliation against actual sales volume, track wastage separately from purchases, and set a target stock-to-sales ratio (for example, capping it near the 18–25% range seen in the most profitable months) as an operational benchmark.

3. Rebuild the Fixed-Cost Base Around Realistic Low-Season Sales

Since rent and salaries do not flex with sales but low-sales months are predictable (February, November, December), staffing levels and shift schedules should be adjusted seasonally. For example, reducing weekday staffing or renegotiating any flexible-rent or revenue-share arrangements during the slow months rather than carrying the same fixed cost year-round.

4. Build a Low-Season Promotional Calendar

With November, February, and December clearly identified as the weakest sales months, the restaurant should plan targeted promotions, local marketing, or limited-time menu offers specifically timed to those months rather than spreading marketing spend evenly across the year.

5. Separate Delivery-Platform Spend from Operating Expense Tracking

Given how dramatically Swiggy/Zomato costs can swing, these should be tracked as their own line monitored weekly (not just reviewed monthly), with an alert threshold (for example, flagging any week where commission exceeds 15% of platform sales) so a repeat of the July–August spike is caught immediately rather than discovered at month-end.

Business Recommendations

Beyond the restaurant-floor changes above, the following broader business recommendations follow from the year's numbers.

Protect and replicate the Q2 Playbook

April, May, and June were the only consecutive profitable stretch in the year, and they share lower stock-to-sales ratios and lower delivery commission ratios than the rest of the year. Whatever combination of menu mix, staffing, and platform usage was in place during Q2 should be documented and treated as the operating baseline to return to.

Set a Monthly Profitability Checkpoint

Because the year's loss was concentrated in a small number of months (February, September, August, December) rather than spread evenly, monthly (not just annual) profit-and-loss review would catch a bad month early enough to course-correct the following month.

Diversify Away from Heavy Delivery-Platform Dependence

With Swiggy and Zomato commissions together reaching as high as 76%+ of sales in the worst month, the business is exposed to platform-side pricing and policy changes. Growing direct/dine-in/walk-in sales, or a direct ordering channel, would reduce this single point of failure.

Use the Existing Inventory Tracking Sheets Operationally

The workbook already contains daily stock and inventory logs; turning these into a weekly ordering checklist (rather than reviewing them only after the month closes) would let the business catch a stock-cost spike in week one instead of discovering it after the month is already lost.

Target a Structural Break-Even, Not Just Cost-Cutting

Given the year produced a -7.8% average margin with four genuinely profitable months reaching only 1–5% margins, the realistic next-year target should be modest and specific. for example, eliminating the Swiggy anomaly and tightening stock cost alone would have turned this year from a ₹331,496 loss into a small net profit, without requiring any change in sales volume.